

48.6%1BR rent burden
2025

↑ from 41.3% in 2018

\$2631BR monthly recovery gap
vs 2019 affordability

Rent still needs to fall

−0.540Vacancy ↔ rent
growth correlation

Supply drives price

0 / 10GTA neighbourhoods
that are affordable

Every single one fails

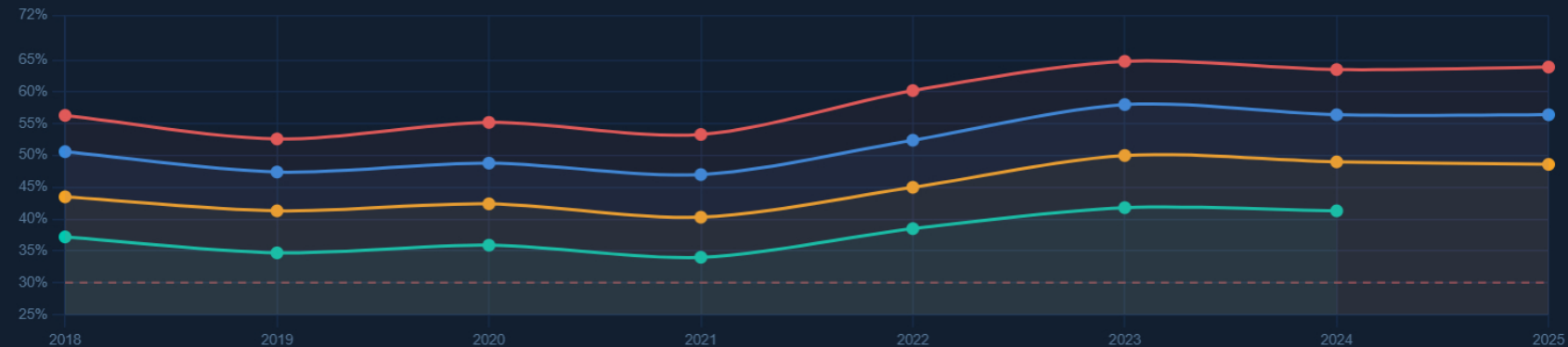
2023Peak affordability
crisis year

3BR+ hit 64.8% burden

Rent burden % of monthly income — all bedroom types (2018–2025)

Red dashed line = 30% affordability threshold. No bedroom type has ever been below it since 2018.

— 3 Bedroom+ — 2 Bedroom — 1 Bedroom — Bachelor — 30% threshold

**Key findings**

- Lowest burden ever: Bachelor 2021 at 34.0% — still 4pp above 30%
- Toronto has been continuously unaffordable since at least 2018
- Crisis peaked 2023: 3BR+ hit 64.8% of income
- At 30% rule, a 3BR needs \$7,300/mo income to be affordable
- Vacancy rose to 2.67% in 2025 — up from 1.48% in 2023
- Surveyed rents still rising — no CMHC decline recorded yet
- Asking rent "cooldown" not confirmed in official CMHC data
- Nominal 1BR rent still \$400 above 2019 baseline

\$1,2611BR average rent
2018 baseline

Starting point

\$1,7611BR average rent
2025 (CMHC)

↑ \$500 nominal (+39.6%)

+\$400Nominal gap
vs 2019 baseline

Still above 2019 level

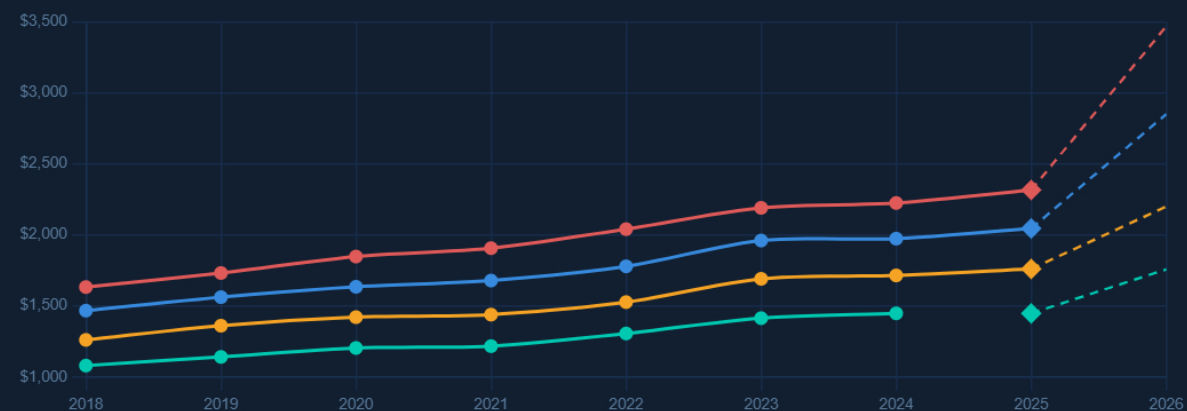
~\$0Real rent gap
vs 2019 (2019 dollars)

Inflation eroded the gap

All bedroom types — nominal rent 2018–2026

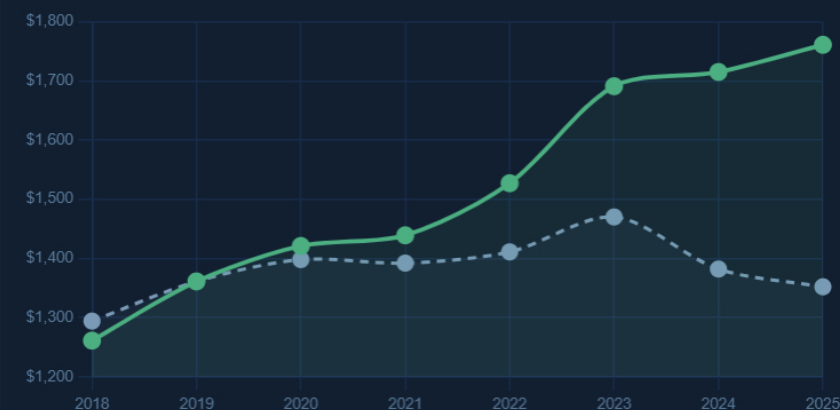
Solid lines = CMHC surveyed paid rents. Dashed + diamond markers = Rentals.ca asking rents (2026, not directly comparable to surveyed).

— 3 Bedroom+ — 2 Bedroom — 1 Bedroom — Bachelor — 2026 asking (dashed)

**1BR nominal vs real rent (2019 constant dollars)**

Inflation has done the work — not rent cuts. Nominal rent is still \$400 above 2019. Real rent has nearly returned to 2019 baseline.

— Nominal rent (actual \$) — Real rent (2019 dollars)

**Key analytical insight**

The "rent cooldown" in asking rent platforms has NOT appeared in CMHC surveyed paid rents through 2025. Renters in existing leases continue to face rent growth — only new listings are cooling.

-0.540Vacancy → rent growth
Pearson correlation

Supply drives price

9.08%Peak rent growth
2023 (vacancy 1.48%)

Tightest market = highest growth

4.80%Peak vacancy rate
2021 (COVID effect)

Lowest rent growth: 2.19%

0 / 10GTA neighbourhoods
below 40% burden

Cheapest: Oshawa at 44.8%

Vacancy rate vs rent YoY growth (2019–2025)

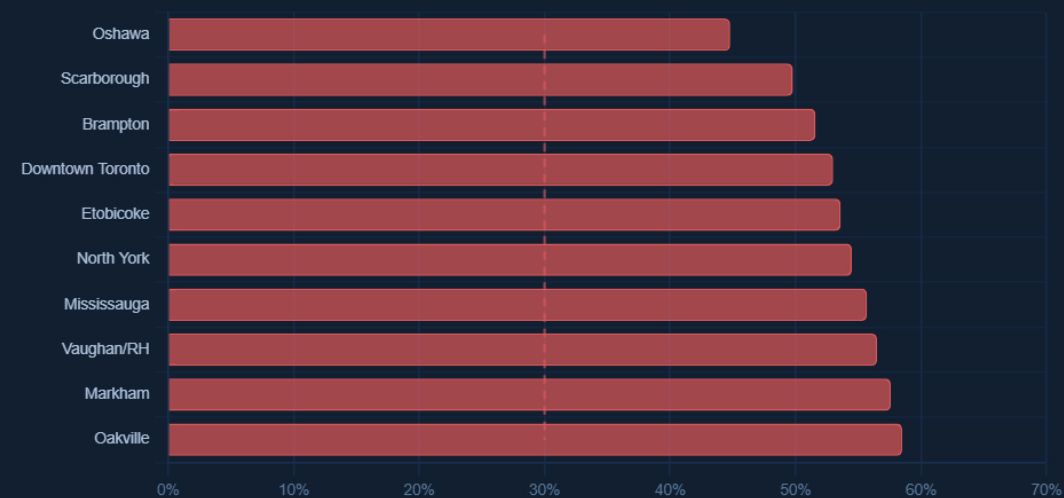
Bars = rent YoY % change, Line = vacancy rate. Inverse relationship: lower vacancy → higher rent growth.



Supply insight

Correlation = -0.540 . Every 1pp rise in vacancy correlates with $\sim 1.5\%$ lower rent growth. The 2025 surge to 10.91% growth despite vacancy holding at 2.67% warrants further investigation — possible lag effect or methodology shift in CMHC surveyed vs asking rents.

GTA neighbourhood 1BR rent burden — Q1 2026

Based on \$3,756/mo median income (2026 estimate). Red dashed line = 30% threshold. Every neighbourhood is Unaffordable ($>40\%$).

CORE FINDING

No single GTA neighbourhood is affordable for a median-income renter. The cheapest option — Oshawa — still consumes **44.8%** of monthly income on a 1BR unit. Toronto has been continuously unaffordable since at least 2018.

8 yrs

Continuous unaffordability

\$409

Monthly drop needed 3BR+ to restore 2019

2.67%

Current vacancy 2025

64.8%

Peak burden 3BR+ in 2023

REC 01 — SUPPLY

Target purpose-built rental incentives at 1BR and 2BR specifically

PROBLEM

1BR and 2BR show the largest absolute burden gaps versus 2019, affecting the broadest share of Toronto renters. 1BR burden rose from 41.3% to 48.6% between 2019 and 2025, requiring a \$263/month rent drop to simply restore 2019 affordability — with no bedroom-type showing any CMHC-confirmed decline.

EVIDENCE

1BR burden: +7.3pp since 2019

2BR burden: +9.0pp since 2019

Vacancy 11pp → rent growth -1.5%

RECOMMENDATION

Province-level incentives (zoning fast-track, HST rebates, density bonuses) targeted specifically at purpose-built 1BR and 2BR rental units. Generic "build more housing" policy misses the unit-mix problem — Toronto needs the right supply, not just more supply.

Estimated impact on burden

High if vacancy reaches 3.5%+

REC 02 — TRANSIT

Invest in transit to reduce the proximity premium in outer GTA

PROBLEM

Outer GTA areas (Oshawa, Scarborough, Brampton) are the only relatively more affordable options, but limited transit connectivity forces a proximity premium for employment-accessible locations. Renters choosing affordability sacrifice commute viability, creating concentrated demand pressure in expensive inner zones.

EVIDENCE

Oshawa 1BR: \$1,683 vs Oakville \$2,199

23% cheaper — but commute dependent

All 10 neighbourhoods still unaffordable

RECOMMENDATION

Transit expansion to Oshawa, Brampton, and eastern Scarborough to make employment nodes accessible from lower-cost areas. A renter in Oshawa earning median income at 44.8% burden — the "best" outcome in this dataset — cannot be considered a success. It must become genuinely viable as a base, not a sacrifice.

Estimated impact on burden distribution

Medium — demand redistribution

REC 03 — POLICY

Retire the 30% benchmark — Toronto needs its own affordability standard

PROBLEM

The 30% affordability threshold is a 1980s national standard that has never been calibrated for Toronto's market. No single-income Toronto renter in any tracked neighbourhood or bedroom type falls below it. The benchmark is so far from reality that it fails as a policy signal — it can't distinguish "bad" from "catastrophic."

EVIDENCE

Lowest burden ever: Bachelor 2021 at 34%

At 30%, a 3BR needs \$7,300/mo income

0/10 neighbourhoods pass the threshold

RECOMMENDATION

Develop Toronto-specific affordability benchmarks stratified by: household size, transit access, and proximity to employment. A tiered system (e.g. 40%–45%–50% bands by household type) would better direct housing subsidies, social housing allocation, and rental assistance toward the most acutely burdened renters rather than treating all as equally unaffordable.

Impact on policy effectiveness

High — unlocks targeted intervention

ANALYTICAL LIMITATIONS — documented for transparency

- CMHC data is October snapshot only — not a continuous monthly average
- 2024–2026 income figures are LFS wage-growth estimates (+3.5%/yr), not published StatCan data
- 2026 Rentals.ca data is asking rents — structurally higher than CMHC surveyed paid rents
- Bachelor 2025 suppressed by CMHC (small sample size)
- 30% threshold is national — not calibrated for Toronto; all findings should be read in that context